How would we think about public policy differently, when placed in Sweden as opposed to how we would think in India?

The simplest idea is to think of an Indian state that does everything that Sweden does, with inferior resourcing. The Swedish central bank has 360 employees, so we should aim for a central bank with 180 employees. [1] We would look at the unemployment insurance system in Sweden, and come up with a design in India which requires roughly half the expenditure.

We think this is the wrong way to think about the consequences of low state capacity. The consequences of low state capacity run deep, and require fundamentally different answers in a place like India, when compared with a high-state-capacity country like Sweden.

A higher price and a lower budget constraint

One way to think about state capacity is as a layer of inefficiency in all state activities. Low state capacity is like a modified price of engaging in a certain activity.

Sweden gets a central bank done in 360 employees, but we may require 720 people in a central bank, as low state capacity induces greater inefficiency. Here, the cost pertains to financial resourcing but even more to the scarce time of the policy leadership.

It is also useful to think of state capacity as a finite *resource*, as a low-budget constraint. The financial resources available in a low-capacity state are more limited. The scarcest resource of all is the time and attention of the senior political and bureaucratic leadership, and of the experts.

The short-term question lies in utilizing these scarce resources wisely. Doing policy under conditions of low state capacity is about making decisions where prices are higher and budget constraints are smaller.

The deeper question lies in how to increase state capacity. How can a country put itself on the journey to increasing state capacity, so that over time, the cost of undertaking a certain activity goes down, and the aggregate resources available to the state go up?